

(Chapter #2)

Topic: The Structure of Organizations

Q-What is an Organization?

Definition:-

⇒ An organization is a group of people working together in a formal way.

⇒ A deliberate arrangement of people to accomplish some specific purpose (that individuals independently could not accomplish alone).

⇒ Essential Components:

- Have a distinct purpose
- Composed of people
- Have a deliberate structure

⇒ examples:

It is impossible to live in a civilized society without close contact with many large organizations such as:

- Schools
- Universities
- Government departments
- Health Service
- Commercial and industrial companies

Legal form of an Organization

⇒ Organizations need to have a legal existence.

⇒ The legal form of an organization refers to its official status under the law.

⇒ This status determines how the organization is managed, taxed and held liable for its action.

⇒ Fundamentally the law recognizes the individuals that is the individuals has a legal existence.

Law recognises individuals:

- enter into the contracts which can be enforced by the courts.
- Give evidences

- Sued for damages or any steal

Incorporation: (سی عینی کوئی، عین کے ذریعے)
(سی عینی کے ذریعے)

- Organization should be given a legal existence, through a process known as ~~legal~~ incorporation.

- When a company making into a body or registered called corpus.

ex:

- Royal charters - IET, BCS, IMechE
- Public or private companies
- Acts of parliament

Commercial Organizations

⇒ Commercial organizations are entities that primarily focus on generating profits through the sale of goods or services.

⇒ They are often referred to as businesses or companies.

Key characteristics:

- Profit-oriented
- Legal entities
- Market-driven
- Diverse range of industries

Types of Commercial Organization:

1. Sole Trader/Proprietorship
2. Partnership
3. Corporation
4. Limited Liability Company

2. Sole Proprietorship/Trader:

- owned and operated by a single individual
- Simplest and most common form
- owner is personally liable for all debts and obligations.
- No separate legal entity.
e.g. Local shop, plumber (single person)
- No legal formalities attached to becoming a sole trader.
- if the income of business is large enough, then will need to register and pay taxes.
- Personally bears all risk if business fails.
- Any one who is in business in any thing other than a very small way should not operate as a sole trader.
- it is usually better to form a legal company.
- Does not have to be the only employee instead multiple employees can work.

Pros

- Simple set up process
- No need to publish accounts.
- Retain all profits
- Decision making

Cons

- unlimited liability
- Fewer sources of finance
- need to be multi-skilled
- Difficult to take holiday

2. Partnership: ^{→ unincorporated company}

⇒ owned and operated by two or more individuals.

⇒ Can be general or limited partnership

⇒ Partners are personally liable for the debts and obligations, except in limited partnerships.

e.g. Doctors, Lawyers, Accountants

⇒ All at Risk

⇒ if a group of people carry on a business with a view to making profits and the business is not a limited company, then the law will treat them as being in partnership.

⇒ The legal framework governing partnerships was established in the Partnership Act 1890.

⇒ Liability of the partners is unlimited.

Problems:

◦ Difficulty of making changes in the ownership

⇒ Partnerships are mainly used in the professions

⇒ Inflexible in normal commercial world
: movement of key personnel
: Too risky

Pros

- Potential for more finance
- Shared workload
- Specialise in expertise

Cons

- unlimited liability
- Shared profits
- Shared decision control

- chartered by the state in which it is headquartered
 - has a life of its own and does not dissolve when ownership changes.

3. Corporation:

- A legal entity separate from its owners.

- offers limited liability to its shareholders.

- Can be public or private

- Subject to corporate taxes.

4. ^{Limited} Companies:

⇒ Companies can be:

- Public

- Private

Limited

- Debts are paid by shareholders a fixed amount not all.

- The owners, known as shareholders,

are not personally liable for the company's debts beyond their initial investment.

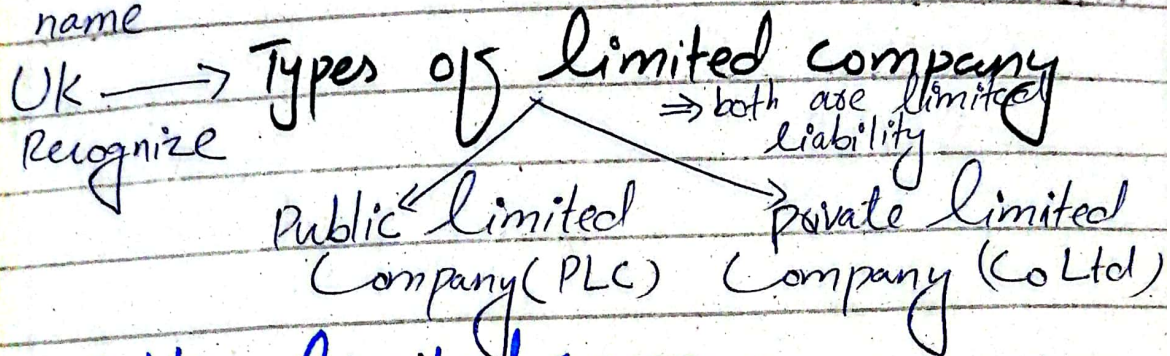
unlimited

- The owners, known as partners, are personally liable for the company's debts and obligations.

- All debts paid by partners.

- if the company goes bankrupt, the partners' personal assets can be used to satisfy the creditors' claim.

- Contract are made in accordance.
- limited liability ^{owners & business are different legal entities}
- Separate legal entity from its owners, mean it can sue and sued in its own name
- unlimited liability ^{owners 2 business is the same legal entity}
- Does not have a separate legal entity from its owner



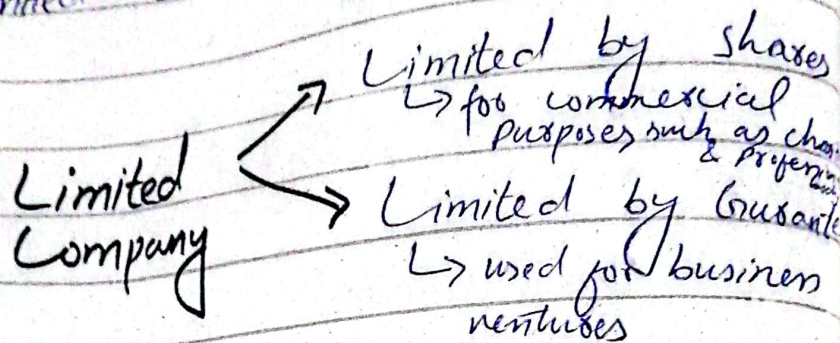
* Public limited company: ^{⇒ Abbreviated to PLC.}

- Trades shares to public ^{through}
- Are listed on a stock exchange and can be purchased by anyone ^{minimum 2 directors & 1 company secretary}
- Company has a wide pool of potential investors. Minimum paid up capital of 5 laur.
- Larger and more complex
- The name of a PLC will end with plc e.g. TSB Bank plc. No limit on no. of members

* Private limited company: ^{→ up to 200 members}

- Cannot sell shares to public ^{Also known as incorporated}
- Can sell shares privately
- Shares are typically owned by a limited number of people.
- Size from small startups to large.

⇒ The name of private limited company will end with the word Limited or Ltd. e.g. Augusta Technology Ltd.



Three fundamental principles to the concept of limited liability company

⇒ Should have legal corporate identity

⇒ Ownership of the company should be divided into number of shares & these shares should be bought and sold individually. The people who own these shares are known as the members of the company and/or shareholders.

⇒ Company incurs debts or other legal liabilities, the owners of the company have no obligation to pay these.
shareholders > 1

Pros

- limited liability
- Additional sources of finance
- Higher Prestige

Cons

- No access to stock exchange
- shared profit
- More Admin
- Legal requirement to publish financial accounts

Company Constitution:

Constitution: The constitution of a company is the fundamental document that defines its legal structure, powers and obligations. It outlines the company's relationship with its shareholders, directors and creditors.

1. Share Capital detail:

⇒ Shareholders (subscribers) own company
↓ Who invest and ^{also} employ in company

⇒ At start of company

- Authorised share capital

- Number & Nominal (Par) value

- Say 100 shares @ 1

⇒ if debts > assets shareholders lose shares

2. Company Constitution:

⇒ In order for a company to be registered, it must have a constitution.

⇒ This consists of two documents:

1. Memorandum of Association

2. Articles of Association

Memorandum of Association:

↳ Controls internal relations

⇒ The memorandum of association states:

- The name of the company
- The country in which its registered office will be located.
- The objects of the company. This is a statement of the type of business in which the company will engage.
- A liability clause
- Authorized share value
 - ↳ Number
 - ↳ Nominal value

⇒ The authorized share capital is the maximum amount up to which the company can issue shares.

⇒ The nominal value is the value written on the share, which is nominally the money paid to the company when the share is first purchased.

⇒ The memorandum will conclude with a declaration of association along the following:

⇒ The several persons whose names, addresses and descriptions.

Articles of Association

↳ Control internal relations

The articles of association are much more complicated and technical. They relate to the following:

- The number of directors
- How directors are appointed & removed.
- What their powers are, what happens when new shares are to be issued.
- What process is devised in order to modify the articles
- Internal regulations
- Shareholders' Rights
- Dividends and winding up
- The rules governing the transfer of shares

Shareholders Agreements

↳ Not a public document.

⇒ Protect interests of minor shareholders

⇒ Article of Association

- Changed at General Meeting
- Needs 75% majority

⇒ Agreement between shareholders

- All must sign
- can govern way voting is done

Directors And their Responsibilities:

- ⇒ Directors are individuals who are responsible for the management and governance of the company.
- ⇒ In small companies, the shareholders run the companies directly.
- ⇒ But some shareholders do not ^{wish to} involve in day to day operations of the business directly.
- ⇒ The law states that or requires that the shareholders appoint directors to take responsibility for running the company on their behalf.
- ⇒ In large public companies, the shareholders may have little opportunity to influence the directors.
- ⇒ Directors must have regard to the interests of both company's employees and its shareholders.

Domestic responsibilities / obligations:

- ⇒ The domestic obligations of directors are the responsibilities they owe to the company and its shareholders with their own jurisdiction.

- must regard to the interests of both the company's employees and its shareholders.
- must act in good faith and for the benefit of the company e.g. Develop software by yourself instead of using the company resources.
- must exercise reasonable care and is carrying out their duties.
- A director who has an interest in a contract made with the company must disclose this interest to the board of directors.

External or legal obligations

- Drawing up the company's annual report, including its accounts.
- Ensuring that the company complies with all relevant provisions of the law.
- Keep themselves aware of the company's financial position and not allow it to continue to incur debts when they know or should have known that the company will be unable to repay them.

Types of directors

⇒ There are two types of directors:

1. Executive directors

2. Non-executive directors

Executive directors:

⇒ are individuals who are actively involved in the day-to-day management of the company. **Responsibilities:**

- ⇒ Typically hold senior management positions.
- Implement company's strategic goal.
- Overseeing its operations.

ex: CEO COO
CFO CTO

⇒ often employees of the company

⇒ deeply involved in the company

Non-executive directors:

⇒ Individuals who are not involved in the executive management of a company. **Responsibilities:**

- Provide independent oversight
- Guidance to the company's management

⇒ Not employees of the company

⇒ may also referred to as "independent directors" if they have no significant financial or personal ties to the company.

ex:

Independent directors lead independent directors.

Company Secretary

⇒ Every company must have a company secretary.

⇒ The company secretary is legally responsible for keeping the various records that the company has to maintain.

⇒ A company secretary is a professional who provides essential administrative and legal support to a company.

⇒ The company secretary is often also a director. Small companies often appoint an outsider, typically a ~~senior~~ solicitor or accountant, as company secretary, because such people are likely to have the necessary professional expertise.

Organizational Models

- ⇒ These tells about the way individuals and groups in an organization relate to each other.
- The bureaucratic model
 - Organic model
 - Matrix management

Structuring Principles

- ⇒ Structure by function
 - ⇒ Structure by geography
 - ⇒ Product line structure
 - ⇒ Structure by technology
 - ⇒ Operational structure
- These tells how to group together the tasks and activities that have to be carried out.

Depth of Structure:

- ⇒ The depth of the organizational structure is the number of layers in the structure the maximum number of layers.

Span of the control:

- ⇒ The number of subordinates a manager can effectively supervise.
- ⇒ The number of people directly reporting to managers.

Management: managers of organizations can Project managers, production managers, general managers & corporate managers. Project managers: produce system which meets the user needs, on time & within budget. Production managers: concerned with productivity, efficiency and maintenance of quality. They deal with the organization as a whole. General managers: responsible for the long-term strategy of the organization. Corporate managers: overall performance.

Centralization & Decentralization

⇒ Organizations may be:

- Centralized
- Decentralized.

Centralized:

- As much power as possible is kept at the top of the company, with delegation only when essential.

Decentralized:

- As much power and control as possible is delegated to the lowest level.

Functional units of an Organization

⇒ Five groups of functions exist in almost any organization:

- Production
- Quality management
- Sales and Marketing
- Finance and Administration

(Remaining Topic)
Continue... of this chapter,
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Chapter #2 (Remaining Topics)

Define Corporate Governance?

⇒ Relationships between stakeholders in companies and its most senior management is known as corporate governance.

Organizing an Organization

⇒ It involves

1. Functional units of an organization
2. Geographical organization
3. Organization by Product
4. Centralization vs Decentralization
5. The position of Quality Management

1. Functional units of an organization

In an organization, tasks are divided into five key functions:

Production

it involves makes products or provides the services that the company sells. it includes all the work involved in creating what the company offers to customers.

Quality Management

This ensures that the products or services meet certain standards and are of good quality. It focuses on maintaining and improving the quality of what the company produces.

Sales and Marketing

Sales is about selling the products. While marketing focuses on creating the right environment for those products to sell, like promoting and advertising them to attract customers.

Finance & Administration

This function manages the money in the company, like paying bills, handling employee salaries and keeping track of the company's funds. It also includes tasks like managing data and legal matters.

Research & Development

How can company do better the thing that it is already doing and what other things can be done to rise profits.

2. Geographical Organization:

⇒ Organization operating over a large geographical area, there are some tasks that should be organized on a geographical basis.

⇒ People in each area have different cultures and preferences.

Culture differences:

⇒ Because of culture differences, an effective selling approach in one country can completely fail in another country.

Product differences:

⇒ Even the products that are most demanded in one country are almost unuseable in another one.

3. Organization by Product:

⇒ means that a company groups its operations based on the different products or services it offers.

⇒ This structure is common in large companies that sell many different products.

⇒ Each product or service has its own division, which is managed separately.

- ⇒ A division can be led by a director or, in some cases, it may even operate as a separate company with its own management team, called a subsidiary.
- ⇒ This setup helps large organization focus on managing each product more effectively.

4 Centralization vs Decentralization

- ⇒ Organization can be centralized or decentralized.

Centralization

- ⇒ In centralized organization, most of the decisions are made by top management at the company main office or headquarters.

Decentralization

- ⇒ Decision making is spread out. Local managers or teams in different regions or branches have the authority to make many decisions on their own, without needing approval from the central office.

6. Position of Quality Management:

⇒ Whatever be the structure of an organization, quality should always be main focus and kept at center.

⇒ Pressure to produce quickly or sell more can lead to skipping quality checks.

⇒ To avoid this, the company needs a strong "quality culture" develop in company where everyone values and maintains high standards in their work.

⇒ This ensures consistent quality and long-term success.

Management

⇒ Different management roles are classified on the basis of their particular concerns and methods for addressing those concerns.

1. Project Management
2. Production Management
3. Corporation Management

Project Management:

- ⇒ Project managers focus on producing systems that meet user needs, on time and within budget.
- ⇒ They handle planning, resource allocation, monitoring progress and ensuring quality.
- ⇒ Their goal is to complete projects successfully.

Production management:

- ⇒ Concerned with the management of activities which continue indefinitely and change comparatively slowly.
- ⇒ it is concerned with productivity, efficiency and maintenance of quality.

Corporate Management:

- ⇒ handles the entire organization, monitoring overall performance & resolving serious problems that arise anywhere in the organization.

Motivation:

How well individuals carry out their work depends on several factors:

- How well they understand what is required of them.
- Their ability.
- The quality of facilities provided for doing the job.
- Their motivation.
- The attitude of their colleagues.

Note: Also Add Maslow's hierarchy on previous pages.

Performance Appraisal

is a system where a manager and their employee agree on specific goals for the employee to achieve during a certain time period. At the end of that period, the employee performance is reviewed based on these goals, and new goals are set for the next period.

Key points for making this system work

- Both the manager & employee must work together to set clear goals.
- The achievement of these goals should be measurable.
- The employee's job tasks should be consistent & clear.
- Continuing commitment from all levels of management is required.